

## GLOBAL INVESTMENT SOCIETY

Investment Research Division

# lululemon athletica inc.

NASDAQ: LULU

## Recommendation: OVERWEIGHT / LONG

Current price: \$100.00      Price target: \$140 (+40% upside)

*A net-cash, high-margin brand priced for terminal decline — we see a cyclical trough, not a broken business*

September 2026      Prepared for the GIS IR selection process

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*Overweight LULU with a \$140 target on ~40% upside and an asymmetric payoff*

**PRICE TARGET**

**\$140**

+40% vs \$100.00 today

**RATING**

**OVERWEIGHT**

12-month horizon

**WHY NOW**

Shares –55% off highs; ~18% single-day drop after Q2 FY2026 print (Sep 3, 2026) overshoots the fundamentals

**Three reasons to be long**

1. Priced for terminal decline — at ~3.5x EV/EBITDA and ~10x FY2026E EPS with a net-cash balance sheet, the stock embeds a permanent impairment that the business does not support
2. International is a multi-year growth engine — China Mainland and Rest-of-World more than offset a maturing Americas and can return total revenue to low-single-digit growth (~2.3% FY27–30 in our model)
3. Elite economics + accretive buybacks — FY2025 operating margin was 19.9% (last full year, not the trough); we model a 13.2% clean FY2026 run-rate (Q2 18.8% minus 560bps of tariff refunds), then add the \$134.5M refund once (~15.2% reported in our IS). Diluted shares are down ~7% (128.0M → 119.1M)

***Base-case DCF \$134; bear \$56 (–44%) vs bull \$202 (+102%) — downside is protected by net cash and an ~8–9% FCF yield***

*A high-quality compounder has de-rated to value multiples after a guidance reset*

## **What happened**

- LULU shares fell from a 52-week high of ~\$226 to ~\$100, including an ~18% single-day decline following the Q2 FY2026 earnings release on September 3, 2026
- Management guided FY2026 to the first annual revenue decline in company history: net revenue of \$10.35–\$10.50B (–5% to –7%) and diluted EPS of \$9.48–\$9.73
- The Americas (the majority of sales) has decelerated to negative comparable sales, while tariffs and higher promotions pressure gross margin and SG&A deleverages on lower volume

## **Where the business stands (FY2025, ended Feb 1, 2026)**

- Net revenue \$11,102.6M (+4.9% y/y); gross profit \$6,284.1M (56.6% margin); operating income \$2,210.6M (19.9% margin)
- Net income \$1,579.2M; diluted EPS \$13.26; diluted shares 119.1M (down from 128.0M in FY2022)
- Balance sheet: \$1,807.2M cash and no funded debt — a net-cash position that funds buybacks and international expansion
- Cash from operations \$1,602.5M; capital expenditures \$680.8M → ~\$0.9B free cash flow even in a decelerating year

*A discretionary macro air pocket collided with an Americas-specific slowdown — the stock prices both at once*

## **Macro (external)**

- Real GDP still grows ~2.1% y/y (FRED GDPC1 Q2'26 vs Q2'25) — not recession, but selective spending away from premium discretionary
- Inflation and economic uncertainty weighed on Americas store traffic (10-K) — macro consumer caution shows up in micro footfall
- Tariff regime: Q2 recognized \$134.5M IEEPA refunds (+560 bps GM) while new tariff layers remain an overhang on sourcing costs
- Athleisure competition intensifying at macro category level (Nike/adidas incumbents + Alo/Vuori/On challengers)

## **Micro (company-specific)**

- Americas comps: −3% FY2025 → −12% in Q2 FY2026; China +20% FY2025 but −6% in Q2 as the base scales
- 811 stores (+44 net FY2025) at ~\$1,426/sq ft — still opening doors while mature-region comps turn negative
- FY2026 guide: first annual revenue decline (−5% to −7%) and EPS \$9.48–\$9.73; Q3 guide −10% to −11%
- Clean run-rate EBIT margin ~13.2% (Q2 18.8% OM minus 560 bps tariff boost) — investors who miss this overstate sustainable margin

## **OVERLAP — WHY \$100**

- Macro weakness maps onto LULU's largest profit pool: Americas ~71% of FY25 revenue (10-K: 70.7%)
- Tariff is simultaneously macro policy and micro P&L — Q2 optics mask run-rate margin
- The de-rating blends macro fear with a micro guide miss; both are largely in the price at ~10x FY26E EPS
- Our edge: underwrite trough economics (13.2% → 15.5% OM), not a return to 30x earnings
- International micro growth (China/RoW) is the bridge — but needs macro stability, not a free option

*Sentiment has capitulated — the sell-side is cutting targets into the print*

### **What the street is saying**

- Consensus rating has drifted to “Hold / Reduce” with a rapidly falling target; recent cuts include Goldman Sachs and JPMorgan to \$95, Morgan Stanley \$93 (Underweight), Wells Fargo \$95, and Bank of America to \$122
- Bear case: Americas saturation and negative comps, tariff-driven gross-margin pressure, SG&A deleverage, and share loss to emerging brands (Alo, Vuori, On)

### **Our differentiated view**

- The tape has moved from euphoria (30–40x earnings in 2023–24) to capitulation (~10x today) — expectations are now low enough that even a conservative recovery re-rates the stock
- At ~3.5x EV/EBITDA the market implicitly assumes revenue and margins decline in perpetuity; our base case only needs stabilization, not a return to peak growth
- Consensus is extrapolating one weak fiscal year; we underwrite the international runway and structural margins the street is discounting to zero

## **Business**

- Founded 1998 in Vancouver; designs technical athletic apparel and accessories for yoga, training, running and everyday wear
- Sells through company-operated stores, a direct e-commerce channel, and select wholesale — a predominantly DTC model that captures full retail economics and first-party data
- Reports revenue by geography: Americas (majority of sales), China Mainland (fastest-growing), and Rest of World

## **Revenue trajectory (US\$ M)**

- FY2022: 8,110,518 → op. margin 16.4%
- FY2023: 9,619,278 → op. margin 22.2%
- FY2024: 10,588,126 → op. margin 23.7%
- FY2025: 11,102,600 → op. margin 19.9%

## **GROWTH ARCHITECTURE**

### **Americas**

Mature, high-productivity base; now negative comps — the source of the market's concern

### **China Mainland**

Fastest-growing region (~20%+); large store and brand-awareness runway

### **Rest of World**

Early-stage in Europe and APAC; men's and international whitespace underpenetrated

## **Unit economics**

- Gross margin ~57–59% — premium, full-price selling with historically limited promotion
- Operating margin ~20% (peaked ~24% in FY2024) — among the best in branded apparel
- Asset-efficient store fleet: leased footprint (right-of-use assets ~\$1.6B) with high sales productivity per square foot
- Cash-generative: FY2025 CFO \$1,602.5M on \$680.8M capex → ~\$0.9B free cash flow

## **Competitive moats**

- Brand and community (ambassadors, in-store events) supporting pricing power
- Product innovation and proprietary fabrics driving repeat purchase
- First-party DTC data enabling assortment, pricing and inventory discipline
- Scale in sourcing and a growing men's and international opportunity

### **MARGIN PROFILE (FY2025)**

|                  |         |
|------------------|---------|
| Gross margin     | 56.6%   |
| Operating margin | 19.9%   |
| Net margin       | 14.2%   |
| FCF (approx.)    | ~\$0.9B |



*Structural tailwinds favor scaled brands in a consolidating category*

## **Category dynamics**

- Global activewear / athleisure is a large (~\$400B) market growing at a mid-single-digit rate, supported by health, wellness and the ongoing casualization of apparel
- The category is fragmented but consolidating toward brands with scale, technical product and omnichannel reach; Nike and adidas are incumbents, with Vuori, Alo and On emerging
- Barriers to entry are rising: brand equity, technical fabric development, supply-chain scale and a productive retail footprint are difficult to replicate quickly

## **Where LULU fits**

- A premium, category-defining brand in technical apparel with structurally higher margins than most peers
- Under-indexed internationally versus Nike/adidas — the primary multi-year growth lever
- Competition is real but LULU's scale, innovation cadence and community remain differentiated

**The market is paying trough multiples for a brand that still earned 19.9% operating margin in FY2025**

- At ~\$100 the stock trades at ~3.5x EV/EBITDA and ~10.4x FY2026E EPS — versus a 5-year history of ~20–30x earnings
- The balance sheet holds \$1.8B of cash and no funded debt, so nearly the entire enterprise value is covered by the operating business at a very low multiple
- Our base-case DCF (WACC 9.0%, terminal growth 2.25%, terminal EBIT margin 15.5%) is in the model — bear is ~\$56; downside is cushioned by net cash and FCF yield, not because bear brackets \$100
- To justify \$100 you must assume revenue and margins fall in perpetuity; that is inconsistent with international growth and the FY2026 tariff-refund tailwind

**VALUATION SNAPSHOT**

**EV / EBITDA: 3.5x**

**FY2026E P/E: 10.4x**

**FCF yield: ~8–9%**

**Net cash: \$1.8B**

**DCF base: \$134**

*China and Rest-of-World offset a maturing Americas and restore growth*

## **Geographic mix shift is the bridge back to low-single-digit revenue growth (~2.3% FY27–30)**

- China Mainland has been compounding at ~20%+ with a long runway in store count and brand awareness relative to the Americas base
- Rest of World (Europe, APAC) is early-stage and under-penetrated versus global peers — an incremental multi-year contributor
- As international scales, it dilutes the drag from negative Americas comps; our model returns total revenue to ~2.3% growth (Street 3Y forecast 2.26%) after the FY2026 reset
- Men's and the digital channel add further optionality that the market is not paying for today

### **REVENUE PATH (model)**

**FY2025A: \$11,102.6M**

**FY2026E: \$10,425M (–6.1%)**

**FY2028E: \$10,910M**

**FY2030E: \$11,418M**

*Best-in-class margins and buybacks compound value through the trough*

## **Even a down year throws off ~\$1B of FCF that is being returned aggressively**

- Operating margin remains ~20% in FY2025 — far above most branded-apparel peers — with room to recover as tariffs and promotions normalize
- FY2025 cash from operations was \$1,602.5M; after ~\$681M capex the business generated roughly \$0.9B of free cash flow
- The company repurchased \$1.6B (FY2024) and \$1.2B (FY2025) of stock; share count has fallen from 128.0M (FY2022) to 119.1M (FY2025)
- At ~\$100 per share, every dollar of buyback retires far more shares than at prior highs — highly accretive to per-share value

### **CAPITAL RETURN**

**FY2025 CFO: \$1,602.5M**

**FY2025 capex: \$680.8M**

**FY2025 buyback: \$1,178.3M**

**Shares: 128.0M → 119.1M**

**Risk → Mitigant**

**Brand fatigue / fashion risk in a core-heavy assortment**

Deep product pipeline, community engagement and international whitespace diversify demand

**Americas comparable sales stay negative**

Expectations are already low; ~10x earnings provides a valuation cushion if declines moderate

**Tariffs compress gross margin**

Pricing power, sourcing diversification, and \$0.86/share of FY2026 tariff refunds offset part of the hit

**Competition from Alo, Vuori, On and incumbents**

Scale, fabric innovation, and under-penetrated men's / international segments defend share

**FX translation on a growing international mix**

Natural operational hedges and an active hedging program limit earnings volatility

*A sequence of events that closes the gap to intrinsic value*

|                                                                                                                          |                                                                                                                     |
|--------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------|
| <br><b>Q3 FY2026 (Dec 2026)</b>         | Company guided revenue –10% to –11%; watch for stabilization signals and holiday traffic / China 11.11 read-through |
| <br><b>FY2026 year-end (early 2027)</b> | First full year lapping the reset; tariff refunds and cost actions support EPS versus lowered expectations          |
| <br><b>FY2027</b>                       | Margin inflection as promotions/tariffs anniversary; continued accretive buybacks compound per-share value          |
| <br><b>FY2027–FY2028</b>              | Total revenue returns to growth as international scales — the trigger for multiple re-rating toward peers           |

Reported history (10-K) vs base-case operating forecast — FY26–30 (US\$ M)

HISTORICALS (FY2022–FY2025) — SEC 10-K

- Net revenue: FY22 \$8,111M → FY25 \$11,103M
- Gross profit: FY22 4,492M → FY25 6,284M
- Operating income: FY22 1,328M → FY25 2,211M
- Operating margin %: FY22 16.4% → FY25 19.9% (peak 23.7% FY24)
- Net income: FY22 855M → FY25 1,579M
- Diluted EPS: FY22 \$6.68 → FY25 \$13.26

FORECAST (FY2026E–FY2030E) — base case (Scenarios col G)

- Net revenue: FY26 10,425M → FY30 11,418M
- Gross profit: FY26 5,901M → FY30 6,463M
- Operating income: FY26 1,511M → FY30 1,770M
- Operating margin %: FY26 14.5% → FY30 15.5%
- Net income: FY26 1,089M → FY30 1,256M
- Diluted EPS: FY26 \$9776.90 → FY30 \$11279.95

| US\$ M                                                                                 | 22                         | 23    | 24     | 25     | 26                                                | 27      | 28       | 29       | 30       |
|----------------------------------------------------------------------------------------|----------------------------|-------|--------|--------|---------------------------------------------------|---------|----------|----------|----------|
| Net revenue                                                                            | 8,111                      | 9,619 | 10,588 | 11,103 | 10,425                                            | 10,665  | 10,910   | 11,161   | 11,418   |
| <i>Hist: 10-K IS — Net revenue · Fcst: Scenarios!<br/>G25:G29</i>                      |                            |       |        |        |                                                   |         |          |          |          |
| Gross profit                                                                           | 4,492                      | 5,609 | 6,271  | 6,284  | 5,901                                             | 6,036   | 6,175    | 6,317    | 6,463    |
| <i>Hist: 10-K IS — Gross profit · Fcst: Scenarios!<br/>G25:G29 × Scenarios!G30:G34</i> |                            |       |        |        |                                                   |         |          |          |          |
| Operating income                                                                       | 1,328                      | 2,133 | 2,506  | 2,211  | 1,511                                             | 1,469   | 1,566    | 1,666    | 1,770    |
| <i>Hist: 10-K IS — Operating income · Fcst: Scenarios!<br/>G45:G49</i>                 |                            |       |        |        |                                                   |         |          |          |          |
| Operating margin %                                                                     | 16.4%                      | 22.2% | 23.7%  | 19.9%  | 14.5%                                             | 13.8%   | 14.4%    | 14.9%    | 15.5%    |
| <i>Hist: 10-K IS — OI ÷ revenue · Fcst: Scenarios!<br/>G45:G49 ÷ Scenarios!G25:G29</i> |                            |       |        |        |                                                   |         |          |          |          |
| Net income                                                                             | 855                        | 1,550 | 1,815  | 1,579  | 1,089                                             | 1,056   | 1,120    | 1,187    | 1,256    |
| <i>Hist: 10-K IS — Net income · Fcst: Scenarios!<br/>G143:G147</i>                     |                            |       |        |        |                                                   |         |          |          |          |
| Diluted EPS (\$)                                                                       | 6.68                       | 12.20 | 14.64  | 13.26  | 9776.90                                           | 9484.51 | 10059.72 | 10657.96 | 11279.95 |
| <i>Hist: 10-K IS — Diluted EPS · Fcst: Scenarios!</i>                                  |                            |       |        |        |                                                   |         |          |          |          |
| Line item                                                                              | Hist source (22–25)        |       |        |        | Fcst source — Scenarios col G                     |         |          |          |          |
| Net revenue                                                                            | 10-K IS — Net revenue      |       |        |        | Scenarios!G25:G29 (Revenue yr 1–5)                |         |          |          |          |
| Gross profit                                                                           | 10-K IS — Gross profit     |       |        |        | Scenarios!G25:G29 × Scenarios!G30:G34 (rev × GM%) |         |          |          |          |
| Operating income                                                                       | 10-K IS — Operating income |       |        |        | Scenarios!G45:G49 (EBIT yr 1–5)                   |         |          |          |          |
| Operating margin %                                                                     | 10-K IS — OI ÷ revenue     |       |        |        | Scenarios!G45:G49 ÷ Scenarios!G25:G29             |         |          |          |          |
| Net income                                                                             | 10-K IS — Net income       |       |        |        | Scenarios!G143:G147 (pitch bridge NI)             |         |          |          |          |
| Diluted EPS                                                                            | 10-K IS — Diluted EPS      |       |        |        | Scenarios!G183:G187 (pitch bridge EPS)            |         |          |          |          |

All forecast lines: LULU\_DCF\_Valuation\_Model.xlsx → Scenarios tab → pitch deck bridge block (col G).

HISTORICALS (FY2022–FY2025) — SEC 10-K

- Cash & equivalents: FY22 1,155M → FY25 1,807M
- Inventories: FY22 1,447M → FY25 1,701M
- Total assets: FY22 5,607M → FY25 8,457M
- Total liabilities: FY22 2,458M → FY25 3,495M
- Total equity: FY22 3,149M → FY25 4,962M
- Funded debt: \$0 across FY22–FY25 (net-cash)

FORECAST (FY2026E–FY2030E) — base case (Scenarios col G)

- Cash & equivalents: FY26 2,393M → FY30 4,497M
- Inventories: FY26 1,585M → FY30 1,681M
- Total assets: FY26 7,941M → FY30 8,697M
- Total liabilities: FY26 3,282M → FY30 3,594M
- Total equity: FY26 4,659M → FY30 5,103M
- Funded debt: \$0 (no term debt in model)

| US\$ M                                                               | 22                             | 23    | 24    | 25    | 26                                                   | 27    | 28    | 29    | 30    |
|----------------------------------------------------------------------|--------------------------------|-------|-------|-------|------------------------------------------------------|-------|-------|-------|-------|
| Cash & equivalents                                                   | 1,155                          | 2,244 | 1,984 | 1,807 | 2,393                                                | 2,825 | 3,317 | 3,874 | 4,497 |
| <i>Hist: 10-K BS — Cash · Fcst: Scenarios!G163:G167</i>              |                                |       |       |       |                                                      |       |       |       |       |
| Inventories                                                          | 1,447                          | 1,324 | 1,442 | 1,701 | 1,585                                                | 1,608 | 1,632 | 1,657 | 1,681 |
| <i>Hist: 10-K BS — Inventories · Fcst: Scenarios!G80:G84</i>         |                                |       |       |       |                                                      |       |       |       |       |
| Total assets                                                         | 5,607                          | 7,092 | 7,603 | 8,457 | 7,941                                                | 8,124 | 8,310 | 8,502 | 8,697 |
| <i>Hist: 10-K BS — Total assets · Fcst: Scenarios!G168:G172</i>      |                                |       |       |       |                                                      |       |       |       |       |
| Total liabilities                                                    | 2,458                          | 2,860 | 3,279 | 3,495 | 3,282                                                | 3,357 | 3,434 | 3,513 | 3,594 |
| <i>Hist: 10-K BS — Total liabilities · Fcst: Scenarios!G173:G177</i> |                                |       |       |       |                                                      |       |       |       |       |
| Total equity                                                         | 3,149                          | 4,232 | 4,324 | 4,962 | 4,659                                                | 4,766 | 4,876 | 4,988 | 5,103 |
| <i>Hist: 10-K BS — Total equity · Fcst: Scenarios!G178:G182</i>      |                                |       |       |       |                                                      |       |       |       |       |
| Funded debt                                                          | 0                              | 0     | 0     | 0     | 0                                                    | 0     | 0     | 0     | 0     |
| <i>Hist: 10-K BS — Debt (\$0) · Fcst: Model — \$0</i>                |                                |       |       |       |                                                      |       |       |       |       |
| Line item                                                            | Hist source (22–25)            |       |       |       | Fcst source — Scenarios col G                        |       |       |       |       |
| Cash & equivalents                                                   | 10-K BS — Cash & equivalents   |       |       |       | Scenarios!G163:G167 (pitch bridge cash roll-forward) |       |       |       |       |
| Inventories                                                          | 10-K BS — Inventories          |       |       |       | Scenarios!G80:G84 (NWC schedule)                     |       |       |       |       |
| Total assets                                                         | 10-K BS — Total assets         |       |       |       | Scenarios!G168:G172 (FY25 TA × rev growth)           |       |       |       |       |
| Total liabilities                                                    | 10-K BS — Total liabilities    |       |       |       | Scenarios!G173:G177 (FY25 TL × rev growth)           |       |       |       |       |
| Total equity                                                         | 10-K BS — Total equity         |       |       |       | Scenarios!G178:G182 (FY25 TE × rev growth)           |       |       |       |       |
| Funded debt                                                          | 10-K BS — Long-term debt (\$0) |       |       |       | Model assumption — \$0 (no term debt)                |       |       |       |       |

BS forecast: Scenarios pitch bridge (cash waterfall + FY25 BS × revenue growth), col G.



Operating FCF (DCF input) vs financing — historical 10-K vs base case (US\$ M)

HISTORICALS (FY2022–FY2025) — SEC 10-K

- Cash from operations: FY22 966M → FY25 1,602M
- D&A (add-back): FY22 292M → FY25 496M
- Capital expenditures: FY25 (681) outflow
- Free cash flow: FY25 922M (CFO – capex)
- Share repurchases (CFF): FY25 (1,178) outflow

FORECAST (FY2026E–FY2030E) — base case (Scenarios col G)

- Cash from operations: FY26 1,660M → FY30 1,751M
- D&A (add-back): FY26 469M → FY30 514M
- Capital expenditures: FY26 (573) → FY30 (628)
- Free cash flow: FY26 1,087M → FY30 1,123M
- Share repurchases (CFF): FY26 (500) → FY30 (500)

| US\$ M                                                         | 22    | 23    | 24      | 25      | 26    | 27    | 28    | 29    | 30    |
|----------------------------------------------------------------|-------|-------|---------|---------|-------|-------|-------|-------|-------|
| Cash from operations                                           | 966   | 2,296 | 2,273   | 1,602   | 1,660 | 1,518 | 1,593 | 1,670 | 1,751 |
| <i>Hist: 10-K CF — CFO · Fcst: Scenarios!G148:G152</i>         |       |       |         |         |       |       |       |       |       |
| D&A (add-back)                                                 | 292   | 379   | 447     | 496     | 469   | 480   | 491   | 502   | 514   |
| <i>Hist: 10-K CF — D&amp;A · Fcst: Scenarios!G55:G59</i>       |       |       |         |         |       |       |       |       |       |
| Capital expenditures                                           | (639) | (652) | (689)   | (681)   | (573) | (587) | (600) | (614) | (628) |
| <i>Hist: 10-K CF — Capex · Fcst: Scenarios!G60:G64</i>         |       |       |         |         |       |       |       |       |       |
| Free cash flow                                                 | 328   | 1,644 | 1,583   | 922     | 1,087 | 931   | 993   | 1,056 | 1,123 |
| <i>Hist: 10-K CF — CFO – capex · Fcst: Scenarios!G153:G157</i> |       |       |         |         |       |       |       |       |       |
| Share repurchases (CFF)                                        | (444) | (559) | (1,637) | (1,178) | (500) | (500) | (500) | (500) | (500) |
| <i>Hist: 10-K CF — Buybacks · Fcst: Scenarios!G158:G162</i>    |       |       |         |         |       |       |       |       |       |

| Line item            | Hist source (22–25)                   | Fcst source — Scenarios col G              |
|----------------------|---------------------------------------|--------------------------------------------|
| Cash from operations | 10-K CF — Operating activities        | Scenarios!G148:G152 (pitch bridge CFO)     |
| D&A (add-back)       | 10-K CF — Depreciation & amortization | Scenarios!G55:G59 (D&A yr 1–5)             |
| Capital expenditures | 10-K CF — Capital expenditures        | Scenarios!G60:G64 (Capex yr 1–5)           |
| Free cash flow       | 10-K CF — CFO – capex                 | Scenarios!G153:G157 (pitch bridge FCF/CFS) |
| Share repurchases    | 10-K CF — Repurchases (financing)     | Scenarios!G158:G162 (G21=\$500M/yr fixed)  |

Buybacks: col G = \$500M/yr fixed (Scenarios assumptions).

CAPITAL STACK (US\$ M)

| Component                           | US\$ M | WACC weight |
|-------------------------------------|--------|-------------|
| Market equity (price × shares)      | 11,138 | 86.1%       |
| ASC 842 operating lease liabilities | 1,798  | 13.9%       |
| Funded debt (term loans / bonds)    | 0      | 0.0%        |
| Total capital (WACC basis)          | 12,936 | 100.0%      |

EV BRIDGE (NOT IN WACC WEIGHTS)

| Component                | US\$ M | Note                                |
|--------------------------|--------|-------------------------------------|
| Cash & equivalents       | 1,807  | Added back in EV → equity bridge    |
| Net debt (leases – cash) | -9     | Near net-cash; leases in WACC above |

No funded bank debt; ASC 842 store leases are the only debt equivalent (~14% WACC weight). Cash of \$1.807M exceeds lease debt → net-cash on a funded-debt basis.

WACC BUILD (CAPM)

| Input                         | Value         |
|-------------------------------|---------------|
| Risk-free rate (10-yr UST)    | 4.80%         |
| Equity risk premium           | 6.00%         |
| Tax rate                      | 30.00%        |
| Beta (relevered; lease adj.)  | 0.84          |
| Cost of equity (CAPM)         | 9.86%         |
| Pre-tax Kd (lease-equivalent) | 5.00%         |
| After-tax Kd                  | 3.50%         |
| Equity / debt weight          | 86.1% / 13.9% |

$\beta$ : Yahoo  $\beta$ L 0.86 → unlevered 0.76 @ D/E 0.19 → relever 0.84 @ lease D/E 0.16

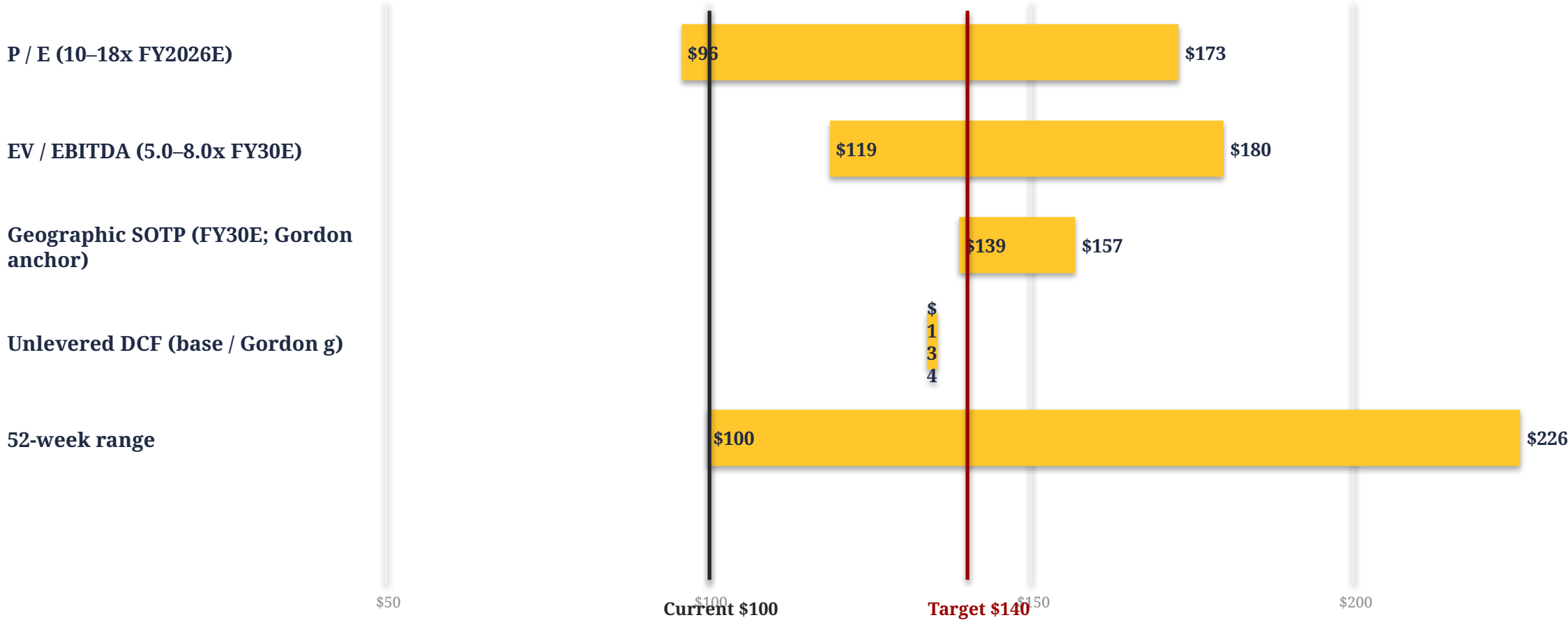
WACC = 8.98%

Base-case discount rate → Scenarios col G · implied price \$134

MODEL SOURCE MAP

| Line item                | DCF model source (WACC tab, col E) |
|--------------------------|------------------------------------|
| Market equity            | WACC!E10                           |
| ASC 842 operating leases | WACC!E11 (FY25 10-K)               |
| Funded debt              | WACC!E13                           |
| Total capital            | WACC!E14                           |
| Cash & equivalents       | 10-K BS — Cash                     |
| Net debt                 | DCF EV bridge                      |
| Risk-free rate           | WACC!E3                            |
| Equity risk premium      | WACC!E4                            |
| Tax rate                 | WACC!E5                            |

Football field — implied share-price ranges by methodology (base case DCF; bear/bull in appendix)



**12-month target \$140 sits above base-case DCF \$134 and inside the comps/SOTP ranges — a partial re-rating, not a return to peak multiples.**

DCF row = Scenarios col G (Gordon growth). Bear  $\$_{d(V['bear'])}$  / bull  $\$_{d(V['bull'])}$  bracket scenarios are in the appendix.

Geographic segments on FY30E base revenue — EV/EBITDA spreads vs Gordon-implied exit (7.4x)

| Segment                                | FY30E rev | EBITDA % | FY30E EBITDA | EV/EBITDA | Segment EV (\$M) |
|----------------------------------------|-----------|----------|--------------|-----------|------------------|
| Americas                               | 8,070     | 16.5%    | 1,551        | 6.4x–7.1x | 9,924–11,010     |
| China Mainland                         | 1,805     | 19.5%    | 410          | 7.9x–9.4x | 3,238–3,852      |
| Rest of World                          | 1,543     | 18.0%    | 324          | 7.1x–8.1x | 2,297–2,621      |
| Total segment EV                       | 11,418    |          | 2,284        | 6.8x–7.7x | 15,459–17,483    |
| Corporate / HQ (no separate carve-out) |           |          |              | n/a       | \$0              |
| + Cash / – lease debt (EV bridge)      |           |          |              | n/a       | +1,807 / –1,798  |
| Implied equity value / share           |           |          |              | n/a       | \$139–\$157      |

Methodology

- Single-brand retailer — geography is the cleanest SOTP cut (Americas / China / RoW per 10-K)
- FY30E segment revenue = FY25 geo mix × base-case consolidated FY30 revenue (Scenarios col G)
- Segment EV/EBITDA spreads anchor to Gordon-implied exit 7.4x (selected DCF TV identity — not the 5–8x comps football-field band)
- Americas: Gordon – 1.0x to – 0.25x (mature); China: +0.5x to +2.0x (growth); RoW: –0.25x to +0.75x
- Consolidated base-case DCF \$134 uses Gordon growth (g=2.25%); SOTP is terminal-year EBITDA triangulation only

SOTP vs DCF

SOTP range: \$139–\$157

Base-case DCF: \$134

Overlap is expected — SOTP applies FY30 EBITDA multiples; DCF discounts explicit FCF + Gordon growth TV.

Base-case unlevered DCF (Scenarios col G) — Gordon growth terminal value; 7.4x is implied exit identity

BASE-CASE ASSUMPTIONS (SCENARIOS COL G)

| Assumption                               | Value    |
|------------------------------------------|----------|
| FY2026 revenue growth                    | -6.1%    |
| FY2027–30 revenue growth (avg)           | +2.3%    |
| Clean EBIT margin (FY26 run-rate)        | 13.2%    |
| Terminal EBIT margin (FY2030E)           | 15.5%    |
| FY26 tariff refunds (one-time)           | \$134.5M |
| Cash tax rate                            | 30%      |
| Capex % of revenue                       | 5.5%     |
| WACC                                     | 9.0%     |
| Terminal growth (g)                      | 2.25%    |
| Gordon-implied exit EV/EBITDA (identity) | 7.4x     |

TERMINAL VALUE — GORDON GROWTH (SELECTED)

| Method                         | Formula / input                                                                | FY30 TV (\$M) |
|--------------------------------|--------------------------------------------------------------------------------|---------------|
| Gordon growth (selected)       | $FCF_5 \times (1+g) / (WACC-g); g=2.25\%$                                      | 16,804        |
| Exit multiple (identity check) | $FY30\ EBITDA \times 7.4x = \text{Gordon TV} \div \text{EBITDA (same number)}$ | 16,804        |

SENSITIVITY — IMPLIED SHARE PRICE (WACC vs TERMINAL g)

| WACC \ g | 1.5%  | 2.0%  | 2.25% | 2.5%  | 3.0%  |
|----------|-------|-------|-------|-------|-------|
| 9.5%     | \$115 | \$121 | \$124 | \$127 | \$135 |
| 10.0%    | \$108 | \$113 | \$116 | \$119 | \$125 |
| 10.5%    | \$102 | \$106 | \$109 | \$111 | \$117 |
| 11.0%    | \$97  | \$100 | \$103 | \$105 | \$110 |
| 11.5%    | \$92  | \$95  | \$97  | \$99  | \$103 |

VALUATION OUTPUT (US\$ M)

PV of explicit FCF (FY26–FY30) 3,944

PV of terminal value 10,933

Enterprise value 14,876

Plus: cash 1,807

Less: lease debt (ASC 842) (1,798)

Equity value 14,885

÷ Diluted shares (M) 111.4

Implied value: \$134 / share

TV = 73% of EV · 7.4x = Gordon TV ÷ FY30 EBITDA \$2,284M (not a peer pick)

Selected TV is Gordon growth (g). The 7.4x exit multiple is the identity check (TV ÷ FY30 EBITDA), not a peer average.

Base-case cell

WACC 9.0% × g 2.25% → \$134. Grid brackets ±100bps WACC and 1.5–3.0% g.

Implied LULU valuation from PitchBook core athletic / apparel set (04-Sep-2026)

COMPARABLE COMPANIES — TRADING MULTIPLES

| Company                | EV/Rev | EV/EBITDA | EV/EBIT | P/E   |
|------------------------|--------|-----------|---------|-------|
| lululemon              | 1.07x  | 4.7x      | 5.4x    | 8.3x  |
| adidas                 | 1.51x  | 9.2x      | 18.6x   | 19.1x |
| Nike                   | 1.27x  | 12.7x     | 15.9x   | 18.3x |
| Deckers                | 2.47x  | 7.9x      | 9.8x    | 12.1x |
| Crocs                  | 1.74x  | 7.8x      | 7.8x    | 10.3x |
| Levi Strauss           | 1.52x  | 9.6x      | 18.1x   | 15.0x |
| Kontoor                | 2.01x  | 12.8x     | 15.4x   | 18.0x |
| Core median (ex-LULU)  | 1.63x  | 9.4x      | 15.7x   | 16.5x |
| LULU @ \$100 (current) | 1.07x  | 4.7x      | 5.0x    | 10.4x |

IMPLIED LULU VALUATION (CORE PEER MEDIAN)

| Metric       | Peer med. | LULU base | Implied px              |
|--------------|-----------|-----------|-------------------------|
| EV / Revenue | 1.63x     | \$10,425M | \$119–\$231 (med \$153) |
| EV / EBITDA  | 9.4x      | \$2,707M  | \$190–\$311 (med \$229) |
| EV / EBIT    | 15.7x     | \$2,211M  | \$155–\$369 (med \$311) |
| P / E        | 16.5x     | \$9.61    | \$99–\$183 (med \$158)  |

Methodology & read-through

- Core set: LULU, NKE, ADS, DECK, CROX, LEVI, KTB — PitchBook daily EV / TTM EBITDA (04-Sep-2026); revenue & EBIT from latest company filings
- EV/Revenue on FY2026E revenue; EV/EBITDA & EV/EBIT on FY2025 (TTM anchor); P/E on FY2026E EPS (\$9.61 mid-guide) — then EV → equity via cash & ASC 842 leases
- LULU trades at 1.07x EV/Revenue and 10.4x forward P/E vs core medians 1.63x / 16.5x
- DCF terminal value uses Gordon growth (g = 2.25%) — the ~7.4x exit multiple is FY30 EBITDA × identity check only, not the peer median (~9x EV/EBITDA)
- Base-case DCF \$134 sits between comps-implied ranges; target \$140 = partial re-rating toward peer medians, not full NKE multiple

*Private-market context for athleisure M&A — not used to imply a control premium on LULU*

| Target                 | Year | Type                  | EV (\$M) | EV/Rev | EV/EBITDA | Status                                                                       |
|------------------------|------|-----------------------|----------|--------|-----------|------------------------------------------------------------------------------|
| Sweaty Betty           | 2021 | Closed acquisition    | 410      | 1.6x   | 16.0x     | Closed Aug-2021 — ~16x FY21E EBITDA; women's premium activewear              |
| Gymshark               | 2020 | Minority growth round | 1,300    | 5.0x   | —         | Closed Aug-2020 — \$1.3bn implied EV; minority stake, not control            |
| Vuori                  | 2021 | Growth investment     | 4,000    | —      | —         | Closed Oct-2021 — \$4bn post-money; revenue not disclosed (~140% YoY growth) |
| Alo Yoga (Color Image) | 2023 | Unclosed sale process | 10,000   | 5.0x   | —         | Unclosed — Reuters Jun-2026: no deal announced; IPO or sale still explor     |
| LULU (public @ \$100)  | —    | Public equity         | 11,129   | 1.07x  | 4.7x      | Trading comps only — not a premium benchmark                                 |

**How we use (and do not use) private precedents**

- Private precedents inform what strategics/PE may pay for premium athleisure assets. We do not derive a control premium from an unclosed ask vs LULU's public trading multiple. Valuation anchors remain DCF and public comps (prior slide).
- Closed M&A: Sweaty Betty (2021) — Wolverine paid \$410M (~16x FY21E EBITDA, ~1.6x sales) for premium women's DTC activewear; closest operating-company precedent
- Private growth rounds: Gymshark (\$1.3bn implied EV, 2020 minority stake) and Vuori (\$4bn post-money, 2021) show strategics/PE pay up for high-growth DTC athleisure — minority/valuation markers, not LULU control comps
- Unclosed process: Alo ~\$10bn ask (~5.0x EV/Sales on Forbes ~\$2bn sales) — illustrates private-brand heat; we do not apply as a control premium on LULU's public multiple
- Valuation anchors remain DCF + public comps (slide 20); precedents support the category-consolidation narrative only

**Valuation stack**

**DCF base: \$134 | Target: \$140**

Comps median EV/EBITDA 9.4x → ~\$229/sh

**BEAR \$56**

−44% vs \$100

- FY2026 revenue −9%; growth stays negative (−1% avg FY28–30)
- Terminal EBIT margin 12.0%
- WACC 11.0%; terminal growth 1.5%
- Americas decline persists; share loss continues

**BASE \$134**

+34% vs \$100

- FY2026 revenue −6.1%; then +2.3% (Street 3Y forecast)
- Clean EBIT margin 13.2% → 15.5%; + \$134.5M refund in FY26 only
- WACC 9.0%; terminal growth 2.25%
- International offsets a stabilizing Americas

**BULL \$202**

+102% vs \$100

- FY2026 revenue −4%; +6% avg FY27–30
- Terminal EBIT margin 19.0%
- WACC 9.5%; terminal growth 3.0%
- Margin recovery toward peak; brand re-accelerates

***Probability-weighted value (25% / 50% / 25%) ≈ \$131 — the risk/reward skews decisively to the upside***



*Data provenance and standard research disclaimer*

## **Sources**

- Historical financials: lululemon athletica inc. Forms 10-K via SEC EDGAR (CIK 0001397187); FY2025 fiscal year ended February 1, 2026
- Q2 FY2026 results and FY2026 guidance: company earnings release dated September 3, 2026
- Market data (price, shares, beta): public market sources as of early September 2026
- Projections, DCF and comparable-company analysis: GIS Investment Research models, built from scratch for this assignment
- Alo Yoga: Reuters 2023 Moelis ask ~\$10bn (no deal announced, Reuters 2026) and Forbes Color Image sales nearly \$2bn. No page prints EV/EBITDA; implied 5.0x is EV/Sales, not the FY30 exit

## **Disclaimer**

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